16-3a The Debate over Advertising

Is society wasting the resources it devotes to advertising? Or does advertising serve a valuable purpose? Assessing the social value of advertising is difficult and often generates heated argument among economists. Let's consider both sides of the debate.

The Critique of Advertising

Critics of advertising argue that firms advertise to manipulate people's tastes. Much advertising is psychological rather than informational. Consider, for example, the typical television commercial for some brand of soft drink. The commercial most likely does not tell the viewer about the product's price or quality. Instead, it might show a group of happy people at a party on a beach on a beautiful sunny day. In their hands are cans of the soft drink. The goal of the commercial is to convey a subconscious (if not subtle) message: "You too can have many friends and be happy, if you drink our product." Critics of advertising argue that such a commercial creates a desire that otherwise might not exist.

Critics also argue that advertising impedes competition. Advertising often tries to convince consumers that products are more different than they truly are. By increasing the perception of product differentiation and fostering brand loyalty, advertising makes buyers less concerned with price differences among similar goods, thereby making the demand for a particular brand less elastic. When a firm faces a less elastic demand curve, it can increase its profits by charging a larger markup over marginal cost.

The Defense of Advertising

Defenders of advertising argue that firms use advertising to provide information to customers. Advertising conveys the prices of the goods offered for sale, the existence of new products, and the locations of retail outlets. This information allows customers to make better choices about what to buy and, thus, enhances the ability of markets to allocate resources efficiently.

Defenders also argue that advertising fosters competition. Because advertising allows customers to be more fully informed about all the firms in the market, customers can more easily take advantage of price differences. Thus, each firm has less market power. In addition, advertising allows new firms to enter more easily because it gives entrants a means to attract customers from existing firms.

Over time, policymakers have come to accept the view that advertising can make markets more competitive. One important example is the regulation of advertising for certain professions, such as lawyers, doctors, and pharmacists. In the past, these groups succeeded in getting state governments to prohibit advertising in their fields on the grounds that advertising was “unprofessional.” In recent years, however, the courts have concluded that the primary effect of these restrictions on advertising was to curtail competition. They have, therefore, overturned many of the laws that prohibit advertising by members of these professions.

Case Study:How Advertising Affects Prices

What effect does advertising have on the price of a good? On the one hand, advertising might make consumers view products as being more different from each other than they otherwise would. If so, it would make markets less competitive and firms’ demand curves less elastic, thereby inducing firms to charge higher prices. On the other hand, advertising might make it easier for consumers to find the firms offering the best prices. In this case, it would make markets more competitive and firms’ demand curves more elastic, which would lead to lower prices.

In an article published in *The Journal of Law and Economics* in 1972, economist Lee Benham tested these two views of advertising. In the United States during the 1960s, the various state governments had vastly different rules about advertising by optometrists. Some states allowed advertising for eyeglasses and eye examinations. Many states, however, prohibited it. For example, the Florida law justified the advertising ban as “in the interest of public health, safety, and welfare.” Professional optometrists enthusiastically endorsed these restrictions on advertising.

Benham used the differences in state law as a natural experiment to test the two views of advertising. The results were striking. In those states that prohibited advertising, the average price paid for a pair of eyeglasses was $33, or $272 in 2018 dollars. In states that did not restrict advertising, the average price was $26, or $214 in 2018 dollars. Thus, advertising reduced average prices by more than 20 percent.

A similar natural experiment occurred in 1996 when the U.S. Supreme Court struck down a Rhode Island law that banned advertising the prices of liquor products. A study by Jeffrey Milyo and Joel Waldfogel, published in the *American Economic Review* in 1999, examined liquor prices in Rhode Island after the legal change, compared with liquor prices in the neighboring state of Massachusetts (where there was no legal change). According to this research, stores in Rhode Island that started advertising cut their prices substantially, often by more than $20 percent, but only on those products that they or their rivals advertised. In addition, after these stores began advertising, they attracted a larger share of customers.

The bottom line: In many markets, advertising fosters competition and leads to lower prices for consumers.